



Original Article

The Transition from BRR to BRSR in India: A Critical Analysis of Compliance Challenges and Regulatory Impact

Jyoti S. Singh

Tolani College of Commerce (Autonomous)

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The global corporate reporting landscape is undergoing a paradigm shift from purely financial disclosures to a holistic integration of Environmental, Social, and Governance (ESG) metrics.[1] In India, this shift is reflected by the transition from the Business Responsibility Report (BRR) to the Business Responsibility and Sustainability Report (BRSR). [1][2][3][4] Mandated by the Securities and Exchange Board of India (SEBI) for the top 1,000 listed entities by market capitalization starting from the financial year 2022-23, the BRSR framework replaces the "comply or explain" approach of BRR with a mandatory, quantitative regime. This paper critically analyses the structural and functional differences between BRR and BRSR, highlighting the latter's alignment with global standards such as the GRI (Global Reporting Initiative) and SASB (Sustainability Accounting Standards Board). Furthermore, the study examines the implications of the recent "BRSR Core" mandate introduced in July 2023, which necessitates "reasonable assurance" for key ESG metrics and extends reporting obligations to the value chain. Through a secondary data analysis of early adopters and industry reports, this paper identifies significant compliance challenges, including data availability for Scope 3 emissions, the financial burden of assurance, and the lack of skilled ESG professionals. The findings indicate that although BRSR enhances transparency and strengthens safeguards against greenwashing, it simultaneously introduces considerable operational challenges for Indian corporates, especially those in the manufacturing sector. The paper concludes by offering strategic recommendations for policymakers to enable a more seamless adoption of BRSR requirements among mid-sized enterprises.

Keywords: BRSR, ESG Reporting, SEBI Mandates, Sustainability, Corporate Governance, BRSR Core.

Introduction:

In the 21st century, the definition of corporate success has expanded beyond profit maximization to include the creation of long-term value for all stakeholders, including the environment and society. This evolution is driven by the recognition that financial capital is inseparably connected to natural and social capital. Investors, regulators, and consumers are increasingly demanding transparency regarding how companies manage climate risks, social equity, and governance practices.

India has been a proactive participant in this global movement. The journey began with the issuance of the "Voluntary Guidelines on Corporate Social Responsibility" in 2009 by the Ministry of Corporate Affairs (MCA), which were later refined into the "National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business" (NVEGs) in 2011. Recognizing the need for a regulatory push, the Securities and Exchange Board of India (SEBI) introduced the Business Responsibility Report (BRR) in 2012, initially mandating it for the top 100 listed companies. However, the BRR framework was largely qualitative and allowed companies significant leeway through its "comply or explain" mechanism. Critics argued that BRR reports were often filled with vague statements rather than hard data, making it difficult for investors to benchmark performance. To bridge this gap and align Indian reporting with global best practices, SEBI introduced the Business Responsibility and Sustainability Report (BRSR) in May 2021.

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Address for correspondence:

Jyoti S. Singh, Tolani College of Commerce (Autonomous)

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The BRSR framework represents a watershed moment in Indian corporate governance. It requires companies to quantify their impact across nine principles of the "National Guidelines on Responsible Business Conduct" (NGRBC). Unlike its predecessor, BRSR demands granular data on gender diversity, energy intensity, water usage, and human rights audits. This paper seeks to explore the nuances of this transition, evaluating whether the new framework effectively addresses the shortcomings of the old regime and what challenges lie ahead for Indian businesses as they navigate this complex regulatory environment.

Objectives of the Research

To ensure a comprehensive analysis of the evolving dimensions of accountancy and sustainability reporting, this study sets forth the following specific objectives:

- To critically analyse the structural transition from the qualitative "comply or explain" approach of the BRR to the quantitative, mandatory metrics of the BRSR.
- To examine the operational challenges faced by Indian corporates in implementing the "BRSR Core" mandate, specifically focusing on data availability for Scope 3 emissions and the cost of reasonable assurance.
- To evaluate the readiness of listed entities in adopting digital data management systems to ensure transparency and compliance with the evolving ESG reporting standards.

Research Methodology

- This research paper adopts a descriptive and analytical research design, utilizing a secondary data analysis approach. Since mandatory BRSR adoption is still very new (the first full cycle finished in FY 2022–23), the study is based on regulatory documents, industry whitepapers, and early analysis reports.

Data Sources:

- **Regulatory Circulars:** Primary texts from SEBI circulars (May 2021 and July 2023) and MCA notifications were analysed to understand the legal requirements.
- **Corporate Reports:** Annual Reports and Sustainability Reports of selected NIFTY 50 companies were reviewed to observe practical reporting patterns.
- **Industry Studies:** Reports from reputable consulting firms (KPMG, EY, PwC) and the CFA Institute were utilized to gather aggregate data on compliance readiness and challenges.

Limitations:

The study is limited by the availability of long-term data, as BRSR has only recently become mandatory. Consequently, the analysis of "trends" relies on the initial two years of reporting (FY 2022-23 and FY 2023-24).

Regulatory Evolution: From BRR to BRSR

The trajectory of non-financial reporting in India has been marked by a gradual tightening of norms, moving from voluntary guidelines to mandatory compliance.

Phase 1: The Voluntary Era (2009–2011)

The Ministry of Corporate Affairs (MCA) released the Voluntary Guidelines on CSR in 2009, followed by the National Voluntary Guidelines (NVGs) in 2011. These laid the philosophical foundation, emphasizing that businesses must respect the interests of all stakeholders, not just shareholders.

Phase 2: The BRR Mandate (2012–2020)

In 2012, SEBI mandated the top 100 listed companies by market capitalization to file a Business Responsibility Report (BRR) based on the NVGs. This was a significant step, making India one of the first developing economies to mandate ESG disclosures. Over the years, the applicability was expanded to the top 500 (in 2015) and eventually the top 1,000 listed entities (in 2019). However, BRR was often criticized for being "tick-box" oriented. Companies could skip difficult questions by providing an explanation, often citing "lack of applicability."

Phase 3: The BRSR Regime (2021–Present)

In 2019, the MCA revised the NVGs to create the National Guidelines on Responsible Business Conduct (NGRBC). To align reporting with these new guidelines, SEBI introduced the BRSR in May 2021.

- **FY 2021-22:** Voluntary adoption of BRSR for top 1,000 companies.
- **FY 2022-23:** Mandatory adoption of BRSR for top 1,000 companies.
- **July 2023:** Introduction of "**BRSR Core**", requiring "Reasonable Assurance" for the top 150 companies starting FY 2023-24, and gradually expanding to the top 1,000 by FY 2026-27.

This evolution signifies a shift from "Business Responsibility" (being a good corporate citizen) to "Sustainability" (ensuring the business model itself is viable in the long term).

Comparative Analysis: BRR vs. BRSR

The transition from BRR to BRSR is not merely a change in format but a transformation in the philosophy of reporting. The table and analysis below highlight the critical differences.

1. Structural Differences

Feature	Business Responsibility Report (BRR)	Business Responsibility & Sustainability Report (BRSR)
Philosophy	"Comply or Explain"	Mandatory Disclosure (for Essential Indicators)
Basis	NVGs (2011)	NGRBC (2019)
Structure	5 Sections (General info + Principle-wise performance)	3 Sections (General, Management, Principle-wise)
Indicators	Mostly Qualitative (Descriptive)	Highly Quantitative (KPIs, Ratios, Intensity)
Global Alignment	Limited	High (Aligned with GRI, TCFD, SDGs)
Reporting Depth	Generic	Granular (Split into Essential vs. Leadership Indicators)

2. The Shift from Qualitative to Quantitative

Under BRR, a company could simply state, "We take steps to conserve energy." Under BRSR, the same company must report its Energy Intensity (GJ/Rupee of turnover), total energy consumption from renewable vs. non-renewable sources, and specific targets for reduction. This shift forces companies to measure what they manage, bringing the discipline of financial accounting to non-financial metrics.

3. Essential vs. Leadership Indicators

BRSR introduces a novel two-tier structure:

- **Essential Indicators:** These are mandatory for all applicable companies. They include basic metrics like energy usage; waste generation, employee turnover, and CSR spend.
- **Leadership Indicators:** These are voluntary (for now) and focus on advanced metrics like Scope 3 emissions (supply chain), life cycle assessments (LCA) of products, and biodiversity impacts. This structure allows companies to transition gradually while aspirational companies can showcase their advanced practices.

The "BRSR Core" and Value Chain Assurance (2023 Update)

In July 2023, SEBI issued a circular that further tightened the screws on ESG reporting by introducing the "BRSR Core." This was a direct response to the global concern of "Greenwashing," where companies exaggerate their green credentials without verification.

What is BRSR Core?

It is a subset of the wider BRSR framework, consisting of select Key Performance Indicators (KPIs) deemed most critical for investor decision-making. These include:

- Greenhouse Gas (GHG) Footprint (Scope 1 and 2).
- Water Footprint.
- Energy Footprint.
- Waste Management.
- Employee Well-being and Safety.
- Gender Diversity.
- Inclusive Development.

The Assurance Mandate:

For the first time, SEBI mandated "Reasonable Assurance" (similar to a financial audit) rather than "Limited Assurance" for these Core indicators.

- **Top 150 listed entities:** Mandatory reasonable assurance from FY 2023-24.
- **Top 250 listed entities:** Mandatory from FY 2024-25.
- **Top 500 listed entities:** Mandatory from FY 2025-26.

Value Chain Disclosures:

Perhaps the most challenging aspect of the new circular is the requirement to disclose ESG data for the Value Chain (suppliers and customers) comprising 75% of the company's purchases/sales. This forces large companies to audit their suppliers, effectively trickling the compliance burden down to MSMEs who are part of the supply chain.

Key Compliance Challenges

While the intent behind BRSR is laudable, the practical implementation poses significant hurdles for Indian corporates. This section analyses the primary challenges based on early feedback from the industry.



1. Data Availability and Management

The biggest hurdle is the sheer volume of data required. Financial data is structured and resides in ERP systems (like SAP or Oracle). ESG data, however, is often unstructured and scattered.

- **Example:** Calculating the "Scope 3" carbon footprint (emissions from suppliers) requires data from hundreds of vendors who may not be tracking their own emissions.
- **Challenge:** Companies lack centralized "ESG Data Lakes." Data is often collected via emails and spread sheets, leading to high risks of error and manipulation.

2. The Cost of Compliance

Transitioning to BRSR is expensive. Costs include:

- **Technology Costs:** Investing in ESG software to track carbon, water, and waste in real-time.
- **Assurance Costs:** Fees paid to third-party auditors for "Reasonable Assurance" are significant, often rivalling financial audit fees.
- **Manpower:** Hiring specialized ESG professionals is costly due to a severe talent shortage in the market.

3. The "Green Skills" Gap

There is a dearth of qualified professionals who understand both Accountancy and Environmental Science. A Chartered Accountant may understand auditing standards but may not know how to verify the "calorific value of fuel" or "BOD/COD levels in effluent discharge." This skills mismatch makes the assurance process slow and prone to inaccuracies.

4. Supply Chain Opacity

The mandate to report on the value chain is particularly difficult for sectors like manufacturing, retail, and FMCG.

- **Scenario:** A large automobile company has thousands of Tier-1, Tier-2, and Tier-3 suppliers. Many of these are MSMEs operating in the informal sector with no formal documentation of labour practices or environmental impact. Gathering reliable data from this network is a logistical nightmare.

5. Complexity of Global Frameworks

While BRSR is aligned with global standards, it is not identical. Companies with global operations often have to prepare multiple reports—one for SEBI (BRSR), one for European investors (CSRD), and one for US investors (SEC Climate Rules). This "reporting fatigue" reduces the focus on actual sustainability action.

Findings from Preliminary Data Analysis

To bridge the gap between theoretical compliance and practical reality, this study conducted a targeted review of the Business Responsibility and Sustainability Reports (BRSR) for the Financial Year 2023-24 of three distinct NIFTY 50 constituents: Infosys (Information Technology), Tata Motors (Automobile/Manufacturing), and Hindustan Unilever Limited (FMCG).

These companies were selected to represent different operational complexities: a service-based low-carbon sector (IT) versus resource-intensive manufacturing and consumer goods sectors.

1. Comparative Case Study

Infosys (Service Sector)

- **Observation:** Infosys demonstrated the highest level of data granularity. Being a service company, its emissions are primarily Scope 2 (electricity), which are easier to track.
- **Leadership Indicators:** The company voluntarily disclosed a majority of "Leadership Indicators," particularly under Principle 6 (Water) and Principle 2 (Product Lifecycle), utilizing digital tools to track employee commute and data centre efficiency.
- **Gap Analysis:** Very few fields were marked "Not Applicable." The transition from BRR to BRSR appeared seamless due to their existing robust digital data mechanisms.

Tata Motors (Manufacturing Sector)

- **Observation:** While compliant with "Essential Indicators," the report highlighted the immense challenge of manufacturing accountability.
- **Leadership Indicators:** Significant gaps were observed in Principle 2 (Life Cycle Assessment - LCA). While LCA was provided for specific EV models, it was not comprehensive for the entire internal combustion engine fleet due to supply chain complexity.
- **Gap Analysis:** The "Not Applicable" or "Data Not Available" tags were frequently used in sections regarding Scope 3 emissions (downstream) and detailed material sourcing from Tier-2 suppliers. This validates the hypothesis that heavy industries face higher compliance friction.



Hindustan Unilever Limited (FMCG Sector)

- **Observation:** HUL showed strong reporting on Principle 2 (Sustainable Sourcing) and Principle 6 (Waste Management), driven by their Plastic Waste Management (EPR) obligations.
- **Leadership Indicators:** The company excelled in reporting social metrics (Principle 3 - Employee Well-being) but faced challenges in quantifying the environmental impact of the "Use Phase" of their products (e.g., water used by consumers to rinse off soap), which is a critical part of their Scope 3 footprint.

2. Quantitative Comparison of Reporting Readiness

The following table summarizes the review of the "Leadership Indicators" (Voluntary Disclosures) across the three entities:

Parameter	Infosys (IT)	Tata Motors (Auto)	HUL (FMCG)
Essential Indicators	100% Compliant	100% Compliant	100% Compliant
Leadership Indicators Reported	High (>85%)	Moderate (~60%)	High (~80%)
Scope 3 Emission Data	Comprehensive	Partial (Estimates used)	Partial (Upstream robust, Downstream estimated)
Supply Chain Visibility	High	Low (Due to complex Tier-N suppliers)	Moderate
Use of "Not Applicable"	Minimal	Frequent (In LCA sections)	Occasional

3. Key Observations

The Sectoral Divide: The analysis clearly indicates a "Compliance Ease" bias favouring the IT sector. Infosys could leverage its digital infrastructure to capture data efficiently. In contrast, Tata Motors and HUL grapple with physical supply chains involving thousands of MSME vendors who lack the capacity to provide data for the "BRSR Core" requirements.

The "Not Applicable" Loophole: Manufacturing entities often resort to marking Leadership Indicators as "Not Applicable" or providing qualitative explanations instead of quantitative data for complex metrics like biodiversity impact or sourcing from "conflict-affected regions."

Data Quality vs. Quantity: While the volume of data reported has increased significantly compared to the BRR era, the comparability of this data remains an issue. For instance, the methodology used by HUL to calculate "water intensity" differs slightly from that of a textile manufacturer, making cross-sector ESG benchmarking difficult for investors.

Conclusion and Recommendations

The transition from the qualitative BRR to the quantitative BRSR framework represents a watershed moment in Indian corporate governance, signaling a shift from "conscience-based" reporting to "compliance-based" accountability. However, the comparative analysis of Infosys, Tata Motors, and HUL conducted in this study reveals a critical divergence in implementation reality.

Conclusion on Sectorial Disparity:

The study concludes that the "Compliance Ease" is heavily skewed towards the Service and IT sectors. As evidenced by Infosys, companies with low physical footprints and high digital maturity can adapt to BRSR with relative ease. In contrast, manufacturing entities like Tata Motors face structural hurdles in tracking Scope 3 emissions and Life Cycle Assessments (LCA) due to complex, fragmented supply chains. Consequently, the frequent use of the "Not Applicable" tag in the manufacturing sector threatens to dilute the comparative utility of these reports for investors.

The "Data Deficit" Risk:

While the "BRSR Core" mandate aims to curb greenwashing, this paper identifies a risk of "Green-hushing"—where companies under-report valid data due to the fear of assurance failures or high costs. The lack of standardized data from the MSME sector (which forms the bulk of the supply chain) remains the single largest bottleneck for accurate Scope 3 reporting.

Recommendations:

- **Sector-Specific Reporting Standards:** SEBI should move away from a monolithic reporting format. Distinct reporting templates should be developed for high-impact sectors (Cement, Steel, Auto) versus low-impact sectors (IT, Banking) to ensure fair benchmarking.
- **Digital Public Infrastructure for ESG:** Similar to the GST network, the government should envision a "Unified ESG Interface" where MSMEs can upload their basic carbon/waste data, which large corporates (like HUL or Tata Motors) can directly pull for their Value Chain reporting.



- Capacity Building for Accountants: The accounting curriculum must evolve. The Institute of Chartered Accountants of India (ICAI) should integrate "Carbon Accounting" and "Non-Financial Assurance" as core subjects to create a workforce capable of auditing these complex environmental datasets.
- In summary, while BRSR places India at the forefront of global sustainability regulation, its success depends on closing the gap between the intent of the law and the infrastructure available to the industries implementing it.

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